

INDUSTRIAL COURT OF QUEENSLAND

Workers' Compensation and Rehabilitation Act 2003 - s. 561 - appeal against decision of industrial commission

Q-COMP AND Craig John Hohn (C/2007/60)

PRESIDENT HALL

26 March 2008

DECISION

Craig John Hohn was employed by C.E. Marshall and Sons as a plant operator at Blackwater. C.E. Marshall and Sons, a firm of earthmoving contractors, employed Mr Hohn to perform work in connection with the firm's contract with Broken Hill Mining - Mitsubishi Alliance, to remove over-burden at the open-cut coal mine. On 23 June 2006, Mr Hohn made an application for compensation under the *Workers' Compensation and Rehabilitation Act 2003* (the Act). The application related to a psychological condition later diagnosed by a psychologist, Ms Corke, as an Adjustment Disorder with Mixed Anxiety and Depression. By a letter dated 21 August 2006, WorkCover Queensland (the insurer) provided Mr Hohn with written notice of the decision to reject his claim. On 11 October 2006, Mr Hohn lodged an application for a Statutory Review with Q-COMP. By a decision of 19 December 2006, Q-COMP confirmed the decision of WorkCover Queensland. Each of WorkCover Queensland and Q-COMP accepted that Mr Hohn was a "worker" who had sustained a "personal injury", that the "personal injury" consisted of a psychological condition and that Mr Hohn's employment was a significant contributing factor. Each of WorkCover Queensland and Q-COMP concluded that the claim should be rejected because s. 32(5) of the Act operated to preclude inclusion of the psychological condition within the statutory definition of "injury". In reliance upon s. 549 of the Act, Mr Hohn appealed against Q-COMP's decision to the Queensland Industrial Relations Commission. By a decision of 31 October 2007, now reported at 186 QGIG 656, the Commission allowed the appeal, set aside the decision of Q-COMP dated 19 December 2006 and determined that Mr Hohn's claim was one for acceptance. Q-COMP now appeals to this Court.

The right to appeal from a decision of the Commission to this Court is vested by s. 561 of the Act. Unlike appeals under s. 341(1) of the *Industrial Relations Act 1999*, the Appeal is not limited to error of law and excess or want of jurisdiction. The Appeal is by way of rehearing on the record, s. 561(3). Here, however, the Appellant points to an error of law in the construction of s. 32(5) submitted to be of such significance that apparently pedestrian findings of fact are said to be infected.

The error relied upon by the Appellant first appears at the second paragraph at 665 whereat the Commissioner observed:

"The major issue for determination is whether Mr Hohn's injury is withdrawn from s. 32(1) because of the reasonable management exclusion in s. 32(5) of the Act. To determine this issue, it is necessary to identify which of the series of events, interactions and dealings between Mr Hohn and Marshalls significantly contributed to Mr Hohn's injury. It is then necessary to determine whether any of the events, interactions or dealings which were significant contributors, were reasonable management action taken in a reasonable way, or Mr Hohn's perceptions of reasonable management action." [Emphasis added]

I accept the Appellant's submission that the proposition advanced by the Commissioner is entirely misconceived. It is clear that on its proper construction that s. 32(5) does not preclude characterisation of a psychiatric or psychological disorder as an "injury" for the purpose of the Act, only where reasonable management is a significant contributor to the aetiology of the disorder. Had the Legislature intended to impose such a requirement, s. 32(5) might readily have been cast in the same language as s. 32(1) to (3). Merely to set out the language of s. 32 is to demonstrate the magnitude of the interpretative leap contended for. Section 32 provides:

"32 Meaning of Injury

- (1) An ***injury*** is personal injury arising out of, or in the course of, employment if the employment is a significant contributing factor to the injury.
- (2) However, employment need not be a significant contributing factor to the injury if section 34(2) or 35(2) applies.
- (3) ***Injury*** includes the following -
 - (a) a disease contracted in the course of employment, whether at or away from the place of employment, if the employment is a significant contributing factor to the disease;
 - (b) an aggravation of the following, if the aggravation arises out of, or in the course of, employment and the employment is a significant contributing factor to the aggravation -

- (i) a personal injury;
 - (ii) a disease;
 - (iii) a medical condition if the condition becomes a personal injury or disease because of the aggravation;
- (c) loss of hearing resulting in industrial deafness if the employment is a significant contributing factor to causing the loss of hearing;
- (d) death from injury arising out of, or in the course of, employment if the employment is a significant contributing factor to causing the injury;
- (e) death from a disease mentioned in paragraph (a), if the employment is a significant contributing factor to the disease;
- (f) death from an aggravation mentioned in paragraph (b), if the employment is a significant contributing factor to the aggravation.
- (4) For subsection (3)(b), to remove any doubt, it is declared that an aggravation mentioned in the provision is an injury only to the extent of the effects of the aggravation.
- (5) Despite subsection (1) and (3), ***injury*** does not include a psychiatric or psychological disorder arising out of, or in the course of, any of the following circumstances -
- (a) reasonable management action taken in a reasonable way by the employer in connection with the worker's employment;
 - (b) the worker's expectation or perception of reasonable management action being taken against the worker;
 - (c) action by the authority or an insurer in connection with the worker's application for compensation.".
- [Emphasis added]

With respect to the Commissioner who dealt with the matter at first instance, it is not a legitimate exercise in construction assisting beneficial legislation to strike its presumed target when it is manifest that the Legislature has embarked upon the exercise of balancing interests. I adhere to the view expressed in *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 492, viz.:

"There is an issue as to whether *WorkCover Queensland Act 1996* (or the *Workers' Compensation and Rehabilitation Act 2003*) is in the nature of beneficial legislation. To the extent that the statutory measures serve as gatekeepers on the route to common law damages, the statutory measures are plainly not beneficial. And in *Kelly v WorkCover Queensland* [2002] 1 QdR 496 at 498 Atkinson J decided as much. However, I adhere to the view expressed in *State of Queensland v Q-COMP and Beverley Coyne* (2003) 172 QGIG 1447 at 1448, that in providing benefits (not otherwise available) to workers who suffer work related injuries, the statutory measures are still properly characterised as beneficial. Indeed, the statutes themselves say as much. The main objects of the *WorkCover Queensland Act 1996* are stated at Part 2, see s. 4(1). One of the objects is to provide benefits to workers who sustain injury in their employment (and for their dependents), see s. 5(1)(a). By s. 4(2) the objects are expressly made an aid to the interpretation of the Act. (The *Workers' Compensation and Rehabilitation Act 2003* does not renumber the relevant sections). I do not however consider that characterisation of the statutes as beneficial assistance [sic] in the interpretation of s. 34(5). Section 34(5) is plainly an exclusionary provision. There is no rule that provisions by way of exception or exemption in a remedial act are to be given a liberal interpretation compare *Rose v Secretary Department of Social Security* (1990) 92 ALR 521 at 524. On the contrary, as Burchett J observed in *Commonwealth v Human Rights and Equal Opportunity Commission and Another* (1998) 152 ALR 182 at 189:

'Where remedial legislation contains exemptions designed to strike a careful and practical balance between competing community interests, a court which distorts that balance in the name of furthering the remedy risks serving a political role, and in doing so, frustrating the will of parliament.'

If there were any doubt that s. 34(5) was about balancing of competing public interests, it is removed by the only relevant extrinsic material, viz. the Explanatory Note to the Bill which (first) introduced the subsection:

'The exclusion criteria from the definition of injury ... for psychiatric or psychological conditions have been strengthened in response to an increasing number of claims where remedial action regarding the worker's poor performance (one example of reasonable management action) was the stimulus for the claim.

...

This clause also excludes psychiatric or psychological injuries that result from action being taken by WorkCover, or a self-insurer, in relation to the management of a worker's compensation claim including rejection of the claim or cessation of an entitlement.'

In my view s. 34(5) should not read so as to maximise the remedial impact of s. 34(1) and (2).

Neither is this a case in which assistance may be gleaned from s. 5(4)(a) which provides that it is a main object of the Act to provide fair and appropriate benefits for injured workers. That is because when s. 5(4)(a) is read as a whole it is apparent that the true main object is to 'maintain a balance' between providing fair and appropriate benefits for injured workers and insuring reasonable premium levels for employers. The Parliament having used s. 34(5) to fine tune the balance, it would be inappropriate to revise the balance unduly in the quest for fairness lest interpretation degrade into the substitution of the court's opinion to that of the legislature, compare *Cooper Brookes (Wollongong) Pty Ltd v Federal Commissioner of Taxation* (1980 - 1981) 147 CLR 297 at 305 per Gibbs CJ."

It must be borne in mind also that s. 32 had its origin in s. 34 of the *WorkCover Queensland Act 1996*. In its original form that section was much less beneficial than s. 32 of the *Workers' Compensation and Rehabilitation Act 2003*. Importantly the phrase at s. 34(1), (2) and (3) was not "a significant factor" but "the major significant factor" and there was an additional paragraph (d) at s. 32(4) and an additional sub-section (5). In its original form s. 34 of the *WorkCover Queensland Act 1996* provided:

"Meaning of 'injury'

34 (1) An '**injury**' is personal injury arising out of, or in the course of, employment if the employment is the major significant factor causing the injury.

(2) However, employment need not be the major significant factor causing the injury if section 36(2) or 37(2) applies.

(3) 'Injury' includes the following -

- (a) a disease contracted in the course of employment, whether at or away from the place of employment, if the employment is the major significant factor causing the disease;
- (b) an aggravation of a disease if the employment is the major significant factor causing the aggravation;
- (c) loss of hearing resulting in industrial deafness if the employment is the major significant factor causing the loss of hearing;
- (d) death from injury arising out of, or in the course of, employment if the employment is the major significant factor causing the injury;
- (e) death from a disease mentioned in paragraph (a), or an aggravation of a disease mentioned in paragraph (b), if the employment is the major significant factor causing the disease or aggravation.

(4) 'Injury' does not include a personal injury, disease, or aggravation of a disease sustained by a worker if the injury is a psychiatric or psychological disorder arising out of, or in the course of, any of the following circumstances -

- (a) reasonable management action taken in a reasonable way by the employer in connection with the worker's employment;
- (b) the worker's expectation or perception of reasonable management action being taken against the worker;
- (c) action by WorkCover or self-insurer in connection with the worker's application for compensation;
- (d) circumstances in which a reasonable person, in the same employment as the worker, would not have been expected to sustain the injury.

Examples of actions that may be reasonable management actions taken in a reasonable way -

- action taken to transfer, demote, discipline, redeploy, retrench or dismiss the worker
- a decision not to award or provide promotion, reclassification or transfer of, or leave of absence or benefit in connection with, the worker's employment.

(5) For subsection (4), in deciding in a particular case whether management action was reasonable or whether management action was taken in a reasonable way -

- (a) regard must be had to what action or way of taking action would have been reasonable for a worker of ordinary susceptibility to psychiatric or psychological disorder; and
- (b) regard must not be had to a particular worker's susceptibility to a psychiatric or psychological disorder."
[Emphasis added]

In the context of that section it is plain that sub-sections (4) and (5) are not concerned with reasonable management action which was "the major significant factor" causing the disorder and the Explanatory Note to the Bill makes that plain. The Note (to which s. 14B of the *Acts Interpretation Act 1954* permits reference to be made to confirm an interpretation) advises:

"Subdivision 2 - Injury

Meaning of 'injury'

Clause 34 replaces section 6 of the *Workers' Compensation Act 1990*. It explains the meaning of 'injury'.

This clause changes the requirement for employment to be 'a significant contributing' factor to the injury to 'the major significant factor' causing the injury. The former requirement was added to the definition in 1994 in an attempt to exclude those injuries where the relationship of the injury to employment was only minimal and for which employers were held responsible.

Determining what 'a significant contributing factor' means has been difficult for claims staff. Courts have applied a lenient interpretation to 'a significant contributing factor' such that this 1994 addition has become less meaningful.

Changing 'a significant contributing factor' to 'the major significant factor' is designed to achieve what the 1994 amendment has not i.e. to exclude those injuries which have only a minimal work related component.

The exclusion criteria from the definition of injury in section 6(3) for psychiatric or psychological conditions have been strengthened in response to an increasing number of claims where remedial action regarding a worker's poor work performance (one example of reasonable management action) was the stimulus for the claim.

Amendments to the definition of injury were introduced in January 1996 in an attempt to control this trend. However, under these amendments, employers have still been held responsible for claims where reasonable management action had been taken. This is considered to be inappropriate, especially when a worker may have a pre-existing disposition to psychiatric or psychological disorder.

This clause now requires regard to be had, when making a decision about the reasonableness of the management action, about how a worker of ordinary susceptibility would have reacted. A 'reasonable person test' has also been introduced so that consideration must be given to whether a reasonable person in the same employment would have been expected to sustain the psychiatric or psychological disorder.

This clause also excludes psychiatric or psychological injuries that result from action being taken by WorkCover, or a self-insurer, in relation to the management of a worker's compensation claim including rejection of the claim or cessation of an entitlement."

There is nothing in the Statute deleting s. 34(4)(d) and (5) and substituting "a significant contributing factor to" for "the major significant factor causing", viz., *WorkCover Queensland Amendment Act 1999*, or contained in the Extrinsic Materials associated with that Amendment to indicate an intention to deny relief, only where the reasonable management action is "a significant contributing factor" to the disorder.

The matter is not one of infelicitous expression. The same misunderstanding of s. 32(5) and of the relationship between s. 32(1) and (5) appears in other passages of the Commissioner's decision at p. 666, viz.:

"...It could be said that where a nominated stressor is found to be a mere blemish the effect is that the stressor is found not to have been a significant contributor to the injury so that the issue of whether it is reasonable management action does not arise." [Paragraph 1]

"I am also unable to accept the submission of Q-COMP to the effect that once an injury is in any way touched by reasonable management action, then it becomes completely non-compensable. In my view that submission overstates the effect of s. 32(5) [sic] of the Act and the decision of President Hall in *McArthur's* case, in relation to that section. Section 32(5) of the Act does not stand alone. Rather, it operates to withdraw an injury from the definition in s. 32(1) of the Act, in circumstances where a significant contributing factor which would otherwise bring the injury within that sub-section is reasonable management action taken in a reasonable way." [Paragraph 3]

"Before s. 32(5) can be considered it is necessary for a finding to be made that a stressor said to be reasonable management action was a significant contributor to the injury in question. Where a series of transactions, incidents, dealings or events (stressors) involving the worker in the workplace occur, s. 32(5) [sic] can have no effect unless one or more of these stressors significantly contributed to the injury. An injury cannot be withdrawn from s. 32(1) because a stressor nominated by an injured worker which is found not to have significantly contributed to an injury, is reasonable management action taken in a reasonable way. If the nominated stressor is not a significant

contributor it cannot be relied upon to bring the injury within s. 32(1), and in such a case s. 32(5) can have no effect with respect to consideration of the nominated stressor." [Paragraph 5]

"Where s. 32(5) operates, an injury can be withdrawn from the definition in s. 32(1) in circumstances where there are two or more stressors which constitute management action both of which contributed significantly to the injury, and one of those stressors is reasonable management action taken in a reasonable way. This is the case notwithstanding that the other stressor may be management action which is unreasonable." [Paragraph 7]

In my view the correct approach is that developed in *Q-COMP v Education Queensland* (2005) 179 QGIG 491 and *Prizeman v Q-COMP* (2005) 180 QGIG 481. In short form, to quote from *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 492:

" 'Despite' can mean 'to scorn or disdain', the Shorter Oxford English Dictionary on Historical Principles, Third Edition, Revised 1984 or 'without taking any notice of or being influenced by', Cambridge On-Line Dictionary. However, the Shorter Oxford English Dictionary, *op. cit.*, also gives 'notwithstanding' as a synonym for 'despite' and in *Attorney General of the Commonwealth v Oates* [1999] HCA 35; (1999) 198 CLR 162 of para [33]; the High Court was disposed to adopt that more moderate meaning. I am content to follow that decision. What has not been developed is whether 'despite' attracts the approach to interpretation about provisions introduced by 'notwithstanding' over almost five hundred years of legal reasoning. The approach to the construction of provisions introduced by 'notwithstanding' is summarised by Cussen J in delivering the judgement of the Full Court in *Inre. Bland Bros and the Council of the Borough of Inglewood* (No. 2) [1920] VLR 523 at 533:

'...The grounds mainly relied upon are the introductory words of Sec. 259, "notwithstanding anything in this Act contained",...As to the introductory words, the section should first be construed without them, and then, if there is anything in the other provisions of the Act inconsistent with the interpretation so arrived at, those other provisions must yield. This was in affect decided, as we understand, by all the justices of England in *Thomas Cecil's Case* [1597] 7 Rep, fols, 19, 20.'

See also *Piper v Corrective Services Commission of New South Wales* (1986) 6 NSWLR 352 at 359 per Kirby P delivering the judgement of the Court of Appeal. However, accepting favourably to the Appellant that that 'traditional' approach may be applied to 'despite', it seems to me that the approach cannot avail the appellant here. The Respondent's argument does not depend upon the proposition that s. 34(5) is a free standing provision. Reading s. 34(1) and (5) together, the Appellant seeks to contend that where the causal or consequential relationship which would otherwise bring an injury within the phrase 'rising out of' at s. 34(1), or where the connection which would otherwise bring an injury within the phrase 'in the course of' at s. 34(1), is a causal or consequential factor or connection which is caught by the net of s. 34(5), it may not be relied upon to bring an alleged 'injury' within s. 34(1) and (thus) within the statutory definition of injury. With respect, such a reading denies the language of s. 34(5). It is not the concern of s. 34(5) to nominate stressors which may be taken into account in determining whether a particular psychiatric or psychological disorder falls within the rubric of s. 34(1). The concern of s. 34(5) is to remove certain psychiatric and psychological disorders from the statutory definition of 'injury'. Where a situation arises in which s. 34(1) 'ropes-in' a particular psychiatric or psychological disorder and s. 34(5) excludes the same psychiatric or psychological disorder, there is an inconsistency which because of the use of 'Notwithstanding' must be resolved by allowing s. 34(5) to prevail."

Enlightened as I am by some of the debate at first instance, I should emphasise that the mere occurrence of reasonable management action will not insulate a disorder from characterisation as an "injury". To begin with, there will be cases in which the worker will decompensate before the occurrence of the reasonable management action reasonably taken. To say of such a disorder that it arose out of or in the course of reasonable management action would be to make a finding in the teeth of the facts. Similarly, reasonable management action reasonably taken, which precedes and is discrete from the worker's decompensation may well be found not to be reasonable management action which triggers the operation of s. 32(5). Whilst everything that happens in an employment relation may, on one use of language, be said to arise out of creation of the relationship, it would be risible to contend that all work-related disorders are denied classification as an "injury" because the worker's original appointment involved reasonable management action reasonably taken. Indeed, even contemporaneity may not suffice to justify a conclusion that the disorder arose in the course of reasonable management action reasonably taken. Where for example, a worker suffers a schizophrenic reaction to the sight of a gruesome death of a fellow employee, the circumstance that all occurred in an authorised rest break would not attract the operation of s. 32(5).

If indeed it was the submission of Q-COMP at first instance that once an injury was in any way touched by reasonable management action reasonably taken it is not compensable, I agree with the Commissioner (paragraph 3 at p. 666) that such a submission "...overstates the effect of s. 32(5)". Indeed, in my view, the submission is inconsistent with *Delaney v Q-COMP* (2005) 178 QGIG 197. That case involved an appeal against a decision by an Acting Industrial Magistrate which teased out the transactions and events and concluded that Mr Delaney's adjustment disorder with mixed anxiety and depressed mood was attributable to a number of interactions with his superiors each of which constituted reasonable management action reasonably taken. There was a successful appeal to this Court. However, as

is pointed out at [71, 015] by the learned author of Watson, *Industrial Laws of Queensland* (who appeared for Mr Delaney), Mr Delaney did not in that appeal challenge every finding that an interaction contributing (in some way) to Mr Delaney's decompensation was reasonable management action reasonably taken. One finding was allowed to remain in place on the appeal. In consequence, Mr Delaney was bound by the finding on the appeal. If the submission attributed to Q-COMP at first instance was correct, Mr Delaney's appeal should have failed. The appeal succeeded. The remaining finding of reasonable management action reasonably taken was treated by both parties as inconsequential so long as it stood alone.

Repudiation of the proposition that s. 32(5) only operates where the reasonable management action is a significant contributing factor to a worker's decompensation, does not require embrace of the proposition that other words, viz., "or partly arising out of or in the course of reasonable management action", are to be read into s. 32(5). I respectfully adopt the view of Watson, *op. cit.*, viz.:

"To read the subsection in that way would be to read into the subsection the words 'or partly arising out of or in the course of'. Implying words into legislation is not something that courts undertake lightly. See, for example, what Callinan J said in *Electrolux Home Products Pty Ltd v AWU* (2004) 221 CLR 309; 209 ALR 116; [2004] HCA 40; BC200405590 at [239].

Further, the argument runs counter to the interpretation given to similar legislation in other jurisdictions. See, for example, *Rivard v Northern Territory* (1999) 129 NTR 1; 150 FLR 33; [1999] NTSC 28; BC9901148 at [30].

It also runs contrary to logic. If there are eight stressors which gave rise to the injury and they all arise out of or in the course of employment only seven are significant contributors whereas the eighth is exceedingly minor but arises from reasonable management action taken in a reasonable way, where is the justification for denying a claimant compensation in those circumstances?"

Each of the proposition contended for by the Commissioner and the proposition attributed to Q-COMP suffer from the same vice. Additional words are read into the statute. In my view s. 32(5) should be permitted to speak for itself. Figurative language and undue conceptualism are to be deprecated. In many cases, as on the facts in *Q-COMP v Education Queensland* (2005) 179 QGIG 491 at 491 (first 3 paragraphs), the correct application of the statutory language will be pellucidly clear. Doubtless, there will be difficult cases. Doubtless, it is for that reason that Industrial Commissioners and Industrial Magistrates are entrusted with the appeals.

It is a curious feature of the decision of the Commission that each of the incidents and/or dealings said to have contributed to Mr Hohn's disorder was found not to have constituted reasonable management action reasonably taken. On those findings it was unnecessary for the Commission to delve in depth into the construction of s. 32(5) and ponder the relationship of that subsection to s. 32(1). However, on the findings, the difficulty created for the Appellant on the Appeal to this Court is that success on the point of law does not inevitably lead to success on the Appeal. It is necessary to revisit the record and assess whether the Commission's findings that all relevant workplace conduct was by way of reasonable management action reasonably taken. The Appellant seeks to avoid the burden of such a re-evaluation of the evidence by contending that the error of law taints the entire decision. One may readily appreciate why such a submission would be made. Whilst s. 563(3) will permit the evaluation of undisputed facts or facts (originally disputed) treated as established by findings of the Commission, compare *Warren v Coombes* (1979) 142 CLR 531 at 551 per Gibbs A-CJ, Jacobs and Murphy JJ, there is the potential for difficulty where the Commission has resolved a dispute of fact by findings based upon credibility. There is also the consideration that appeals are about the corrections of error, and it may not be possible to say of a contentious inference that it is wrong.

As a matter of first impression, the submission that the whole of the Commissioner's reasoning was infected is quite compelling.

Q-COMP's first point is that (paragraph 8 at p. 667) the Commissioner said:

"I do not accept Mr Hohn's view that his complaint was not satisfactorily resolved by management, and in particular the fact that Mr Hohn was not given an apology, was a significant contributing factor to his injury. The evidence clearly establishes that by the time this point was reached, Mr Hohn had sustained an injury due to the altercation with Mr Goldspink and the manner in which his complaint was dealt with by management of Marshalls immediately following that altercation. The fact that Mr Hohn did not receive an apology may have contributed to the injury, but that contribution was not significant. This is clear from the report of Ms Corke, and the attached statement of Mr Hohn which indicates that prior to being told by Ms Burey that there would not be an apology forthcoming from Mr Goldspink, Mr Hohn claimed to have been unable to go to work due to dry retching and feeling nauseous. While Ms Corke agreed under cross-examination that this issue contributed to Mr Hohn's injury, she did not say that it was a significant contributor. Ms Corke also said that the most significant damage was done on 8 June and the few days immediately following and that if those incidents had not occurred, subsequent incidents would not have had such an impact." [Emphasis added]

Had the passage stood alone one would be compelled to the conclusion that the issue whether the interaction with Ms Burey, who had final carriage of Mr Hohn's complaint and dealt with the matter of an apology, was not taken into account in evaluation whether Mr Hohn's disorder was attributable to reasonable management action because of the erroneous construction of s. 32(5) upon which the Commissioner was proceeding. However, the passage does not stand alone. The Commissioner returned to the interaction between Mr Hohn and Ms Burey and (paragraph 5 at p. 668 and paragraphs 1 to 3 at p. 669) observed:

"These conclusions were contrary to the allegations made by Mr Hohn and they were reached without any discussion with Mr Hohn. I accept that by the time Ms Burey had an opportunity to consider matters raised by Mr Hohn it was not possible for her to speak with him. I also accept that Ms Burey had legitimate reasons for any delay in dealing with the matter. However, I am also of the view that matters reached this stage because Mr Beddow did not respond appropriately and reasonably to Mr Hohn's allegations on 9 June 2006. The test of reasonableness does not require allegations made by an employee to be investigated with the forensic thoroughness that would be employed by police. Reasonableness does not equate with perfection. It is also the case that reasonableness does not equate with industrial fairness. As President Hall has pointed out while the concept of industrial fairness is not a dominant consideration, and cannot improve on the test of reasonableness, considerations of fairness will always be relevant: *Delaney v Q-COMP* (2005) 178 QGIG 197 at 199. What is required is reasonableness in all of the relevant circumstances.

...

Mr Hohn had an altercation with his supervisor. Mr Hohn detailed his allegations to a more senior Manager, Mr Beddow. Those allegations were serious and involved bullying, harassment, intimidation and assault. That Manager did not take reasonable steps to ensure that Mr Hohn was offered support and the complaints were immediately responded to. The investigation of the complaints was flawed because Mr Hohn was not afforded procedural fairness and the outcome was determined in the absence of any discussion between Mr Hohn and Ms Burey. While delay on Ms Burey's part in dealing with the allegations was understandable, any difficulty in this regard could have been easily alleviated if Mr Beddow had responded reasonably when the allegations were first made by Mr Hohn.

Even if the failure to resolve Mr Hohn's complaint to his satisfaction did contribute significantly to Mr Hohn's injury, in all of the circumstances the response was not reasonable. It is not sufficient at this stage to suggest that an apology would have been inappropriate. The fact remains that some action to address and resolve Mr Hohn's concerns should have commenced at an earlier stage than it did. The response that was ultimately provided to Mr Hohn was not reasonable because it was formulated on the basis that Mr Hohn's allegations were found by Ms Burey not to have been substantiated, without affording Mr Hohn the opportunity to have an input into the investigation and the proposed resolution." [Emphasis added]

In short form, the Commissioner came to the conclusion that the conduct of the heavily pregnant Ms Burey, who did not return to work and take charge of the investigation until after Mr Hohn had departed, and the opportunity to converse with him was lost, was understandable. However, because the transaction with Ms Burey was the finale and the Commissioner was satisfied that all that had gone before was unreasonable, the Commissioner found that Ms Burey's dealings with Mr Hohn's complaint were inadequate to the point of being unreasonable. Accepting (for the present) the Commissioner's assessment of the earlier transactions, that conclusion seems to have been open to Her Honour. Mr Hohn's employer was the firm. The Commissioner was entitled to accumulate the knowledge of the four supervisors with whom Mr Hohn had dealt and was entitled to assess the reasonableness of a particular transaction against the background of all transactions engaged in on the firm's behalf. (The first sentence of the final paragraph at p. 667 which is literally inconsistent with the passages at p. 668, should be read as a reference to Mr Hohn's opinion that the failure to resolve his complaint was a significant contributing factor to his disorder, rather than as a finding that the failure to resolve his complaint was not satisfactory.)

Q-COMP contends further that the flawed construction of s. 32(5) flared again (paragraph 5 at p. 665) when the Commissioner said:

"Typically, where the injury for which compensation is sought is a psychiatric or psychological disorder, there are transactions, incidents, dealings or events involving the worker in the workplace, which are said to have caused the injury. These may be referred to in the reports of medical practitioners as 'stressors' and for ease of reference I will use that term. It is generally necessary to analyse each stressor - 'to tease out the transactions and series of events said to have brought about the injury' - to determine which of the stressors was a significant contributor to the injury so that it can be said that there is a causal or consequential relationship between the worker's employment and the injury: *Delaney v Q-COMP* (2005) 179 QGIG 471 at 472 (*Delaney*). In effect, this process may involve a determination of the weight of each incident to establish whether it is significant or a 'blemish': *Prizeman v Q-COMP* (2005)." [Emphasis added]

The passage is simply wrong. The noun "blemish", which was first used in *Bowers v WorkCover Queensland* (2002) 170 QGIG 1, has always been used in connection with a discussion about whether an imperfection in management

action justifies characterisation of the management action (or its implementation) as unreasonable. The authorities do not suggest that identification of a "blemish" or other "minor impairment" has anything to do with causation. Because the Commissioner failed to appreciate that management action might be reasonable though "blemished", there is room for concern that the Commissioner was too demanding in assessing the reasonableness of the management action and its implementation. (Though I note that the Commissioner expressly said at p. 668, paragraph 6: "Reasonableness does not equate with perfection.") In those circumstances, I move to the review of the Commissioner's findings about "reasonableness".

Given that the decision of the Commission rehearses the evidence at great length and that the decision is reported, I propose to cut to the chase.

On the Appeal to this court, Mr Long SC for Q-COMP grouped the transactions to be evaluated as follows:

- (a) the conduct of Mr Goldspink on 8 June 2006;
- (b) the conduct of Mr Beddow on 9 June 2006 in dealing with Mr Hohn's complaint about Mr Goldspink;
- (c) the conduct of Mr Marshall in making a complaint about Mr Hohn on the night of 9 June 2006, and the conduct of Mr Beddow in dealing with the complaint; and
- (d) the conduct of Ms Burey in the final resolution of Mr Hohn's complaint.

The psychologist (Ms Corke), I should interpolate, grouped the transactions as follows:

- inappropriate workplace behaviour;
- difficulty submitting a grievance to Human Resources; and
- complaint not satisfactorily resolved by management.

Ms Corke adopted Mr Hohn's classification of events. Once one descends to the detail it is apparent that Ms Corke was aware of the complaint about Mr Hohn and how it was dealt with and was aware of Mr Hohn's concern for the security of his employment. The difference in grouping is about exposition; the groupings are not about substance.

It was conceded at first instance that Mr Goldspink's conduct on the night of 8 June 2006, was not reasonable management action reasonably taken. Q-COMP has not vacillated on the Appeal. (The Commissioner adopted the view that it was Ms Corke's evidence that all transactions "contributed to the diagnosis". The Appeal to this Court has been argued on that basis and I have embraced the assumption. However, given the vigour of the exchange with Mr Goldspink on the night of 8 June 2006 and Mr Hohn's vomiting before the commencement of work on 9 June 2006, it does occur to one that Mr Hohn had decompensated before the commencement of work on 9 June and that the later transactions contributed to the final diagnosis by way of aggravation of the disorder existing prior to the commencement of work on 9 June 2006.)

Given the concessions made by Mr Beddow in cross-examination, the Commissioner's conclusion that Mr Beddow did not take reasonable action in a reasonable way is indubitably correct. With the benefit of hindsight, Mr Beddow conceded that Mr Goldspink had seen him early on 9 June 2006 to complain about Mr Hohn before Mr Hohn made a complaint about Mr Goldspink. Mr Beddow conceded that he should not have accepted Mr Goldspink's complaint about Mr Hohn engaging in excessive "chit-chat" on the radio without turning his mind to the absence of complaint about the co-worker who was the other party to the "chit-chat" and should also have spoken to the co-worker. Mr Beddow commented he should have investigated Mr Hohn's complaint against Mr Goldspink. Mr Beddow conceded that if he had known of the assault, it was unlikely that he would have accepted Mr Goldspink's complaint about Mr Hohn. Mr Hohn's evidence about Mr Beddow's receipt of Mr Marshall's complaint must be assessed against the background of the concessions.

As to Mr Hohn's interaction with Mr Marshall on the evening of 9 June 2006, the Commissioner concluded:

"If the warning and suspension initiated by Mr Marshall are considered in isolation, I did not find Mr Marshall's evidence compelling. Mr Marshall wrote two case notes about the same incidents, and they are inconsistent. The two case notes are clearly two separate documents and each could stand alone. Mr Marshall's explanation that there were two pages because he has big writing is, on the face of the documents, unconvincing. On balance, I do not accept that there was justification for suspending Mr Hohn on 9 June 2006. It is also the case that by the time this suspension occurred, Mr Hohn had made a serious allegation about his supervisor to Mr Beddow, and notwithstanding this had been sent off to work in an area where that supervisor was also working. In all of the circumstances these incidents were not reasonable management action." [Emphasis added]

On the Appeal to this Court, Q-COMP has contended that each document contained the same three safety violations. The documents, bundled together as Exhibit 10 may be so read. However, the documents first generated may be read as raising two safety violations whilst the second document may be read as raising three violations. On the evidence, three violations triggered a "warning". Further, the reason for the generation of two documents rather than one is not

immediately obvious. Each of those matters was raised with Mr Marshall in cross-examination. Part of that cross-examination, I now reproduce:

"Have a look at that statement. So - and having recourse to that statement, you accept that that's the statement that you gave to the Verifact investigators? - Yeah, yep.

You've signed that on - at the back page acknowledging that to be true and correct? - Yeah, that's right.

And that was dated on the 26th of July 2006? - That's right.

So how does that help you put in a time sequence where these documents were executed ----- ? ---Well you'd have to -----

----- particularly with the reference to the 25th of May 2005? -- You'd have to talk to Melanie about that 'cause that's her - must be in-house, um, Marshall system because it's got her signature opposite it.

Okay?--But this was written out on the 9th so.

On the 9th? -- The - the 9th, 10th, probably would've gone after - into the - as I said, when we get back to the 18 hard stand, it would've been on the 10th.

So you executed those case notes at the hard stand on the evening of the 9th, these notes here, the ones that have been tendered? -- It would've been the 10th, after midnight.

The 10th after midnight. What, is there some paperwork and stationery there for supervisors to ----? -- Yes, there's a, um - there's a hole with case notes, um, case notes, absentees, the whole works.

Now in relation to the statement - you can put that to one side, that was a statement to Verifact - and have a look at the documents which are the employee case notes, there's a - headed the 9th of the 6th of '06? -- That's right.

And then there's another one headed the 9th of the 6th of '06. Why did you need to execute two? -- Well you can just see by my writing, I'm not a small writer so -----

No. It appears to me, if we look at - there is one which is a single page sheet? --Yeah, yep.

About half a page which reads as follows, and I'll read it so that everyone knows what I'm talking about, 'At 8.45 p.m. Friday night, Craig Hohn was seen entering the ramp 50 dump running over rocks and also driving in front of truck 23 that was dumping his load with no radio communication, then reversed hard back into the rill.' So we have that document executed, as I understand your evidence, sometime on the 10th after midnight. Then there is that document 9/6/06, 'Purposes of discussion,' and I probably should've read out previously, on the purposes of discussion, driving over rocks, no positive communication, you nominate on that document two breaches. You nominate on the second document three breaches - driving over rills, no positive communication and backing into rills. And that document states, 'Craig Hohn on Friday night the 9th of the 6th was driving truck 14. He was seen by myself at the dump on ramp 50 driving in front of truck 23 while truck 23 was dumping their load was no radio contact by Craig Hohn. Then Craig Hohn backed back to the rill over rocks as big as a bucket. He also hit the rill with his four back tyres. This happens at 8.45 p.m. I got on the radio and told Craig Hohn to go to the go line, then I went up the go line to tell him what he had done.' There's a PTO which says on the second page, 'Craig Hohn replied back to me, "Fucking - I did not do that. That's bullshit." I then told him to go home. I then put that in my diary.' Why did you execute two versions on the same evening? - Yeah, quite simple. This is the first time I ever written one of these because I was learning and the first one here, the little one, was a description of the - up the top I've got, um, 'Purpose of discussion -----

Yes? -- --- driving over rocks. No communication.' It was a description of what three offences he's done and then this was a story about the time it happened, the day and what truck number and that. So that was a - this one here was just a, um, why, um - this was to outline what the - what the breaches were, and this was the story of what the breaches -----

Okay. So the little one was written firstly? -- Yeah, yep.

The two are inconsistent. You've got the sequence out. On the first one you state, '8.45 Friday night Craig Hohn was seen entering the ramp 50 running over rocks.' And on your second one you haven't got him running over rocks while he's entering the ramp, you've got him running over rocks while he's reversing into the rill, which one is correct? Pick between the two? -- No, well, it was - it was going to the dump. I'm not - I'm not -----

But which one is correct, answer the question. It's your evidence, you wrote this down saying it was contemporaneous and accurate? -- Yeah, well my English is not the best, I didn't complete school.

No, no, it's not a question of English? -- No, it is.

On the original version you have him going into ramp 50, entering the ramp 50 dump running over rocks. And on the second version you've got him running over rocks when he is reversing his truck. Which version is correct? -- Mate, I should have said, 'At ramp 50.' I've put, 'the,' 'entering the ramp 50.' I should have put 'At ramp 50 at the dump.'

Do you intend to answer the question or not? Which version is correct? -- No, I just - my English is not the best and I'm prepared to admit it, but, um, I'm not a Rhodes scholar.

Which version is correct? Was he running over rocks when he was entering into ramp 50 or was he running over rocks when he was reversing into the rill? -- He was up at the rill, when he reversed back from that truck he ran over rock when he hit the - when he went back to the rill. So that's - that was the - that was the situation.

Okay. You rewrote your notes so that you could get three breaches so you could put him off that night, didn't you? - -No, not really.

Because there is not three breaches on the first document that you'd executed? -- The little one? There is, um, running over rocks, running in front of the truck and over communication, so I can't see why you say there's not three. But each on of these pieces of paper have got three."

On the face of the transcript, Mr Marshall was dissembling. The Commissioner had the advantage of seeing and hearing the witness. There is no legitimate basis for going behind the Commissioner's refusal to act on Mr Marshall's evidence. (I accept that it was Mr Marshall's evidence that after reacting angrily to the allegations, Mr Hohn ultimately accepted the allegation. Given the events of 8 and 9 June 2006 and Mr Hohn's legitimate concern about the security of his employment, the concession is of little weight.)

For reasons already given, if the conduct grouped at (a), (b) and (c) was other than reasonable management action reasonably taken so also was the conduct of Ms Burey. It follows that there was no scope for the operation of s. 32(5).

I dismiss the Appeal. I reserve all questions as to costs. If need be, submissions about costs will be taken in writing.

Dated 26 March 2008.

D.R. HALL, President.

Released: 26 March 2008

Appearances:

Mr G. Long SC and with him Mr A. McLean Williams, directly instructed for the Appellant.

Mr G.C. O'Driscoll, instructed by Hall Payne Lawyers, for the Respondent.

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